

- CLT Recap: $f_{X_1+X_2}(t) = f_{X_1} * f_{X_2}(t) = \int_{-\infty}^{\infty} f_{X_1}(t-z) f_{X_2}(z) dz$
 - for $X_1, X_2, \dots$ iid $\rightarrow f_{X_1+X_2+\dots+X_n} = f_{X_1} * f_{X_2} * \dots * f_{X_n} = (f_{X_1})^{*n}$
 - looks like bell shaped curve with $E = nE[X_1]$ & $Var = nVar[X_1]$

• CLT says: Let $X_1, X_2, \dots$ be iid with $E[X_1] = \mu < \infty$ & $Var[X_1] = \sigma^2 < \infty$

- Then ... $F_{(X_1+\dots+X_n - n\mu)/\sqrt{n}\sigma^2}(b) = F_{N(0,1)}(b)$

- $\lim_{n \rightarrow \infty} P(N(0,1) \leq b) = \underbrace{\frac{1}{\sqrt{2\pi}} \int_{-\infty}^b e^{-x^2/2} dx}_{\text{CDF of bell-shaped curve}}$

- $E = 0$, $Var = 1$, and the above integral = 1 (multiplied by $1/\sqrt{2\pi}$)

• standard normal distro Z has $E=0$, $Var=1$

- Let some distro $X = \sigma Z + \mu$, then $E[X] = \mu$, $Var[X] = \sigma^2$

- $N(\mu, \sigma^2)$ - Normal distro w/ $E=\mu$, $Var=\sigma^2$

$$\rightarrow \frac{1}{\sqrt{2\pi}\sigma^2} \int_{-\infty}^t e^{-1/2((y-\mu)/\sigma)^2} dy$$

• Stability: if X_1 has $N(\mu_1, \sigma_1^2)$ and X_2 has $N(\mu_2, \sigma_2^2)$ and X_1, X_2 independent, then X_1+X_2 has $N(\mu_1+\mu_2, \sigma_1^2+\sigma_2^2)$

- essentially: add together two stable distros, you'll get the same (another stable) distro

- I stockpiled 400 chocolate bars. Amt of time it takes to eat each is random w/ distro $\text{Exp}(2 \text{ days})$. What is prob your stash lasts at least 6 months (182.5 days)?